Practice workbook · Reducing poverty: progressive tax, benefits, education, healthcare

The interventions listed for redistribution: progressive taxation, benefit payments, and investment in education and healthcare, how each narrows gaps or lifts people out of poverty, and their drawbacks.

19 question parts: 1 worked-example retry and 18 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-21

1. Question 4 · part b · 6 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

4 Figure 5 shows the gross domestic product (GDP) for India in 2021 and 2022.

	2021	2022
GDP ($bn)	3 150.31	3 385.09

Figure 5

(a) Calculate, to two decimal places, the **percentage change in GDP** for India between 2021 and 2022. You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

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Worked-example retry · Attempt part b only.

The Indian Government offers many different benefit payments and other provisions to very low-income individuals and families to help to reduce poverty. These include cash transfers, food rations and training courses for unemployed workers.

(b) With reference to the data above and your knowledge of economics, analyse how benefits offered by the government can help to reduce poverty for a country such as India.

(6)

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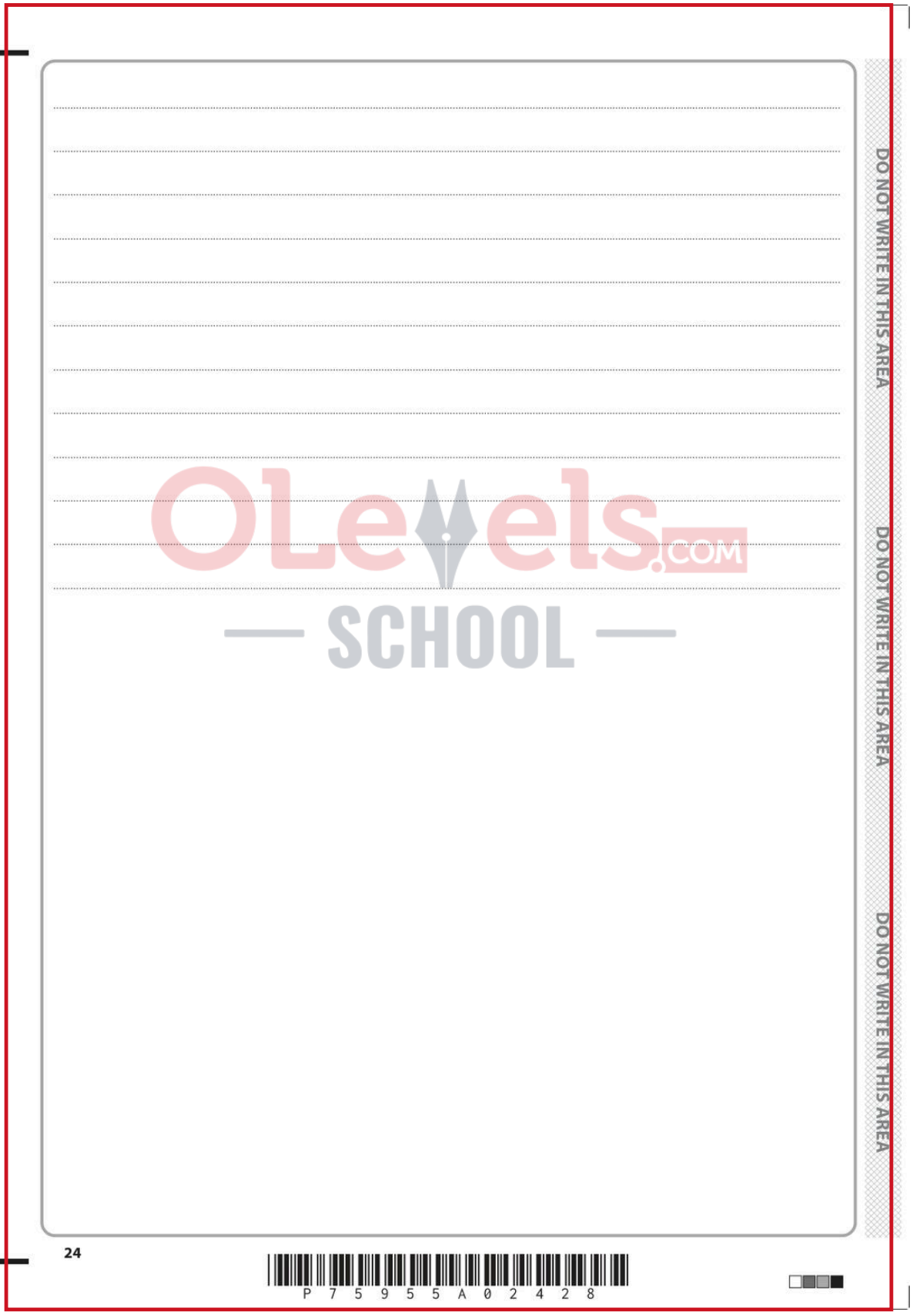
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1. Question 4 · part b · 6 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.



1. Question 4 · part b · 6 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

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In October 2023, India was once again considering joining the Regional Comprehensive Economic Partnership (RCEP).

The RCEP is the world's largest trading bloc, accounting for about 30% of global trade. It consists of 15 member countries including China, Japan and South Korea, the three largest economies in Asia.

India withdrew from RCEP negotiations in 2019, saying that it had concerns about the impact of the agreement on its domestic industries, particularly agriculture and manufacturing.

The Indian Government has been in talks with RCEP member countries to obtain a fair and balanced trade deal that would benefit all stakeholders.

(c) With reference to the data above and your knowledge of economics, evaluate the possible benefits for India of joining the RCEP trading bloc.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 3 · part c · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

3 (a) Kenyans who holiday in South Africa would be shown on the Kenyan current account as

(1)

- ☒ **A** an invisible import
- ☒ **B** a visible export
- ☒ **C** a visible import
- ☒ **D** an invisible export

(b) Which **one** of the following is an example of an indirect tax?

(1)

- ☒ **A** Inheritance tax
- ☒ **B** Income tax
- ☒ **C** Business tax
- ☒ **D** Value added tax

(c) Explain **one** way a government could reduce inequality and poverty.

(3)

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2. Question 3 · part c · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

In December 2017, Argentina's Consumer Price Index (CPI) increased from 20.9% to 25%.

(d) Analyse the possible impact of high inflation on consumers in a country such as Argentina.

(6)

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2. Question 3 · part c · 3 marks · Working and answer

Working and answer

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3. Question 4 · part c · 12 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

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4 GDP per capita is a measure of a country's economic output that accounts for population. Figure 4 shows the population and gross domestic product (GDP) for Vietnam in 2016.

	2016
Population (million)	92.7
GDP (US$ million)	202 600

Figure 4

(Source: © 2018 The World Bank Group)

(a) Calculate, to two decimal places, the GDP per capita for Vietnam in 2016. You are advised to show your working.

(2)

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3. Question 4 · part c · 12 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

The unemployment rate fell in Vietnam between 2015 and 2016 but in the same period the inflation rate increased.

(b) Analyse how a fall in unemployment may have caused an increase in Vietnam's inflation rate.

(6)

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3. Question 4 · part c · 12 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

A report by the charity Oxfam, stated that Vietnam has 210 super-rich people. Their combined earnings for one year are enough to take 3.2 million people out of poverty and end absolute poverty in Vietnam. To reduce inequality and poverty, Oxfam is calling on international leaders to increase taxes to fund healthcare, education and job creation. Oxfam also asked business leaders to pay employees a living wage and pay their fair share of tax.

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in progressive taxes is the most effective way to reduce inequality and poverty for a country such as Vietnam.

(12)

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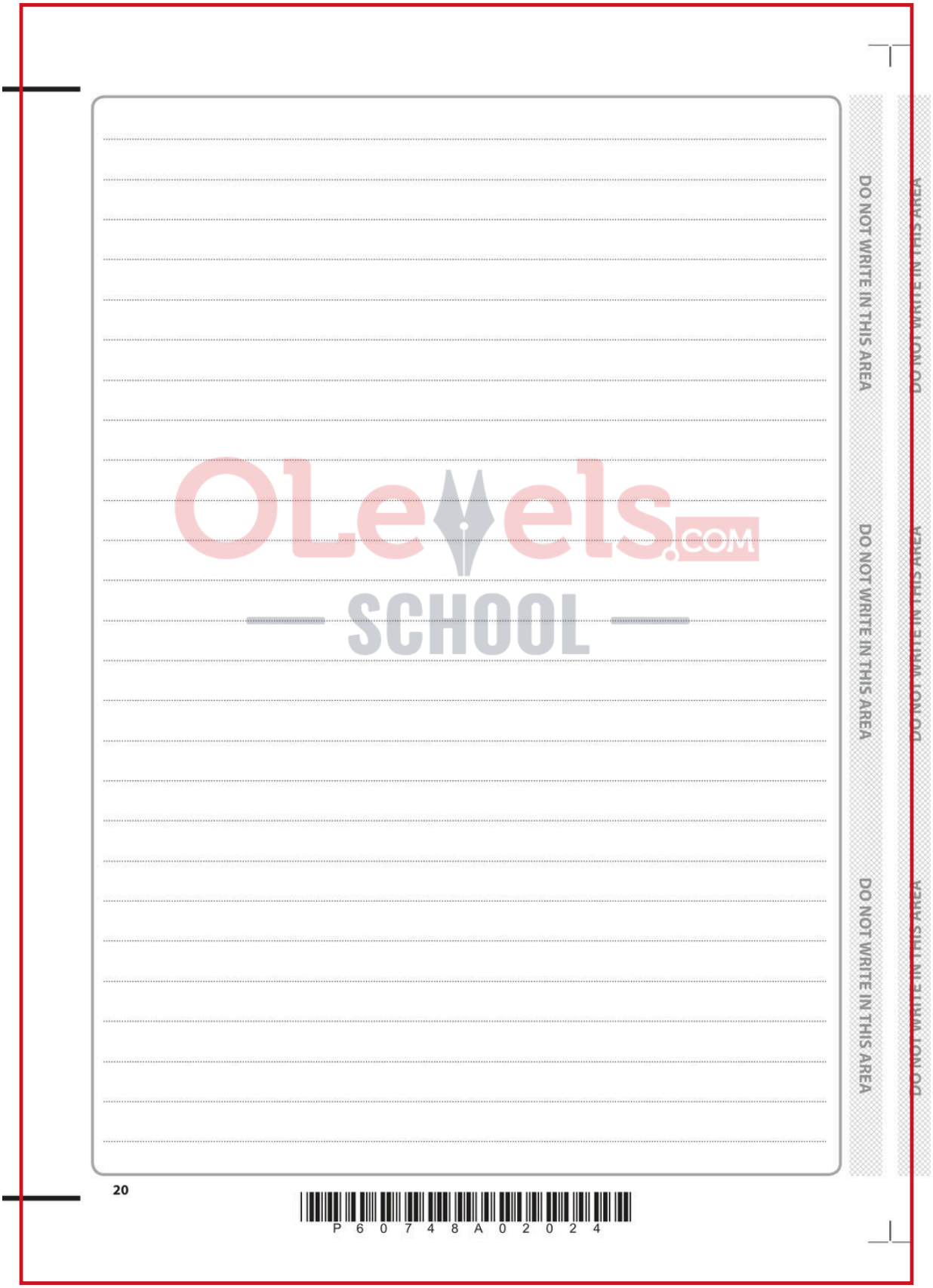
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3. Question 4 · part c · 12 marks

2019 JUN · Paper 02

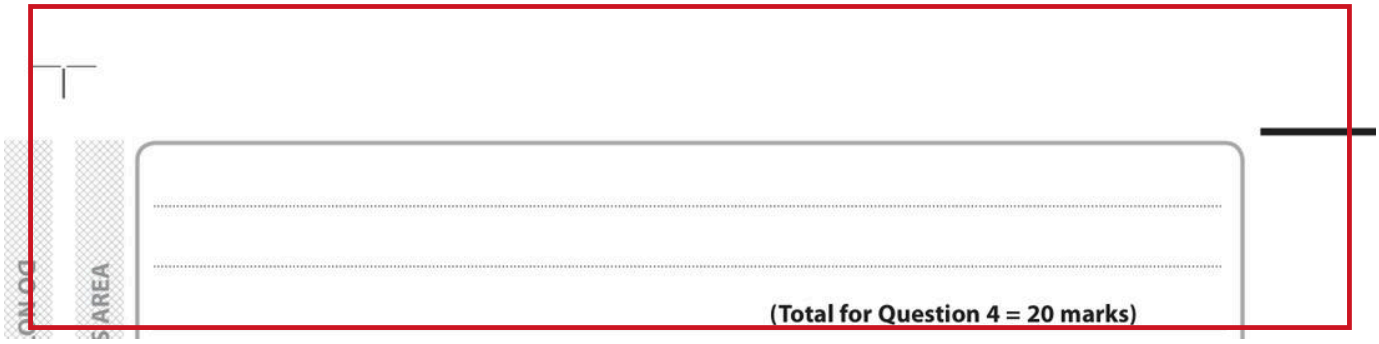
Further practice · Attempt part c only.



3. Question 4 · part c · 12 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.



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3. Question 4 · part c · 12 marks · Working and answer

Working and answer

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4. Question 2 · part a · 1 mark

2020 JAN · Paper 02

Further practice · Attempt part a only.

2 Figure 2 shows the rates of taxation in the UK in 2018.

Income per year (£)	Tax rate (%)
0 to 11 850	0
11 851 to 46 350	20
46 351 to 150 000	40
150 000 upwards	45

Figure 2

(a) This is an example of what type of taxation system?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Regressive
- ☒ **D** Value added

(b) To improve the standard of living, which **one** of the following is a government likely to reduce?

(1)

- ☒ **A** Welfare payments
- ☒ **B** Subsidies for housing
- ☒ **C** Education
- ☒ **D** Indirect taxes

(c) State **one** method of government intervention that should lead to the protection of the environment.

(1)

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4. Question 2 · part a · 1 mark · Working and answer

Working and answer

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5. Question 2 · part g · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

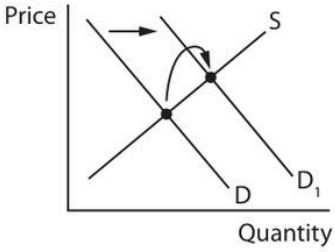
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2 In 2019, India introduced tariffs against US agricultural products including apples, almonds and lentils.

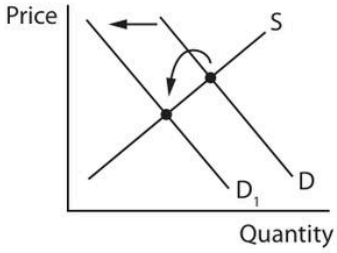
(a) Which **one** of the following diagrams shows the Indian market for apples, almonds and lentils following the introduction of the tariffs?

(1)

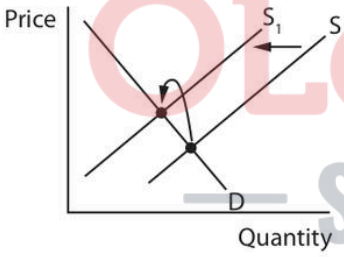
☒ **A**



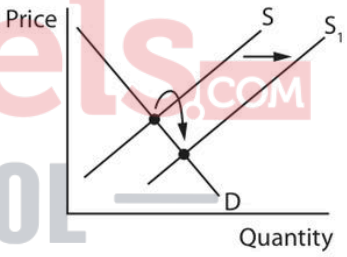
☒ **B**



☒ **C**



☒ **D**



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5. Question 2 · part g · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

(b) Which supply-side policy involves the removal of government controls?

(1)

- ☒ **A** Deregulation
- ☒ **B** Education and training
- ☒ **C** Lower business taxes
- ☒ **D** Infrastructure spending

(c) State **one** disadvantage of free trade.

(1)

(d) What is meant by the term exchange rate?

(2)

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5. Question 2 · part g · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

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In 2018, Germany had a current account surplus of €268bn. Germany uses the euro (€) which had recently weakened against other major currencies.

(e) Explain **one** reason why a fall in the value of the euro (€) may have resulted in a positive impact on Germany's current account.

(3)

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5. Question 2 · part g · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

In 2019, the Indian Government privatised six major state-owned airports. It handed over the operations, management and development of the airports to private sector firms for the next 50 years.

(f) Explain **one** way privatisation could improve productivity in these Indian airports.

(3)

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5. Question 2 · part g · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

Canada Child Benefit (CCB) payments get a boost

In 2018, the monthly tax-free welfare benefit for children was increased to match the cost of living in Canada.

The amount a family receives is calculated based on income. As a family's income rises the amount of benefits decrease. Some higher income households do not receive the benefit at all. The CCB has distributed more than CAD$23.3bn to around 3.7 million Canadian families, and has helped to remove more than 300,000 children out of poverty.

(g) With reference to the data above and your knowledge of economics, assess the advantages of using benefit payments to redistribute income in a country such as Canada.

(9)

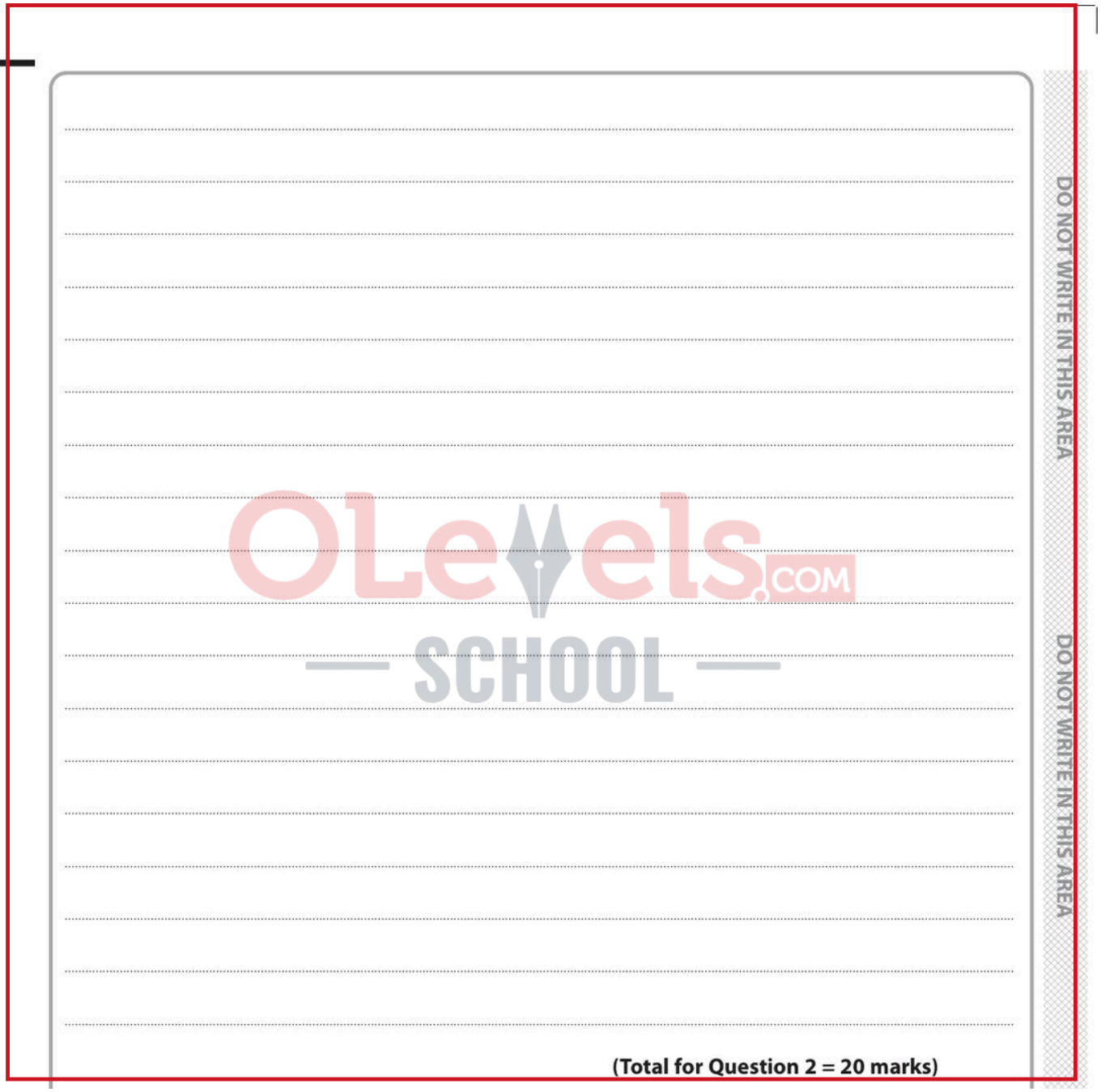
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5. Question 2 · part g · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.



5. Question 2 · part g · 9 marks · Working and answer

Working and answer

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6. Question 3 · part b · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part b only.

3 (a) Which **one** of the following is likely to be a trade-off as a result of increased economic growth?

(1)

- ☒ **A** Increased employment
- ☒ **B** Increased inflation
- ☒ **C** Higher standards of living
- ☒ **D** Higher fiscal surplus

(b) Which type of taxation has a higher proportion of income paid as income rises?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Business
- ☒ **D** Value added tax (VAT)

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6. Question 3 · part b · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part b only.

Palm oil is used in food and cosmetics. Palm plantations are a major agricultural activity in Indonesia. Many of the plantations are owned by foreign multinational corporations (MNCs).

(c) Explain **one** advantage for Indonesia of the palm oil plantations being owned by foreign MNCs.

(3)

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6. Question 3 · part b · 1 mark · Working and answer

Working and answer

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7. Question 3 · part d · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by indirect taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) Member countries of a trading bloc agree to

(1)

- ☒ **A** trade together with low or no barriers
- ☒ **B** have the same rate of income tax
- ☒ **C** only trade with members within the bloc
- ☒ **D** have common borders between members

Brazil currently only allows a quota of 600 million litres of ethanol per year to be imported from the US.

(c) Explain **one** advantage of using quotas for a country such as Brazil.

(3)

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7. Question 3 · part d · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

The Slovenian Government spent €3.05bn on healthcare in 2019. This included additional funding for reducing the time people were waiting for treatment and an extra €104m to cover the recent increase in wage rates for healthcare staff.

(d) With reference to the data above and your knowledge of economics, analyse why the Slovenian Government might want to increase investment in healthcare.

(6)

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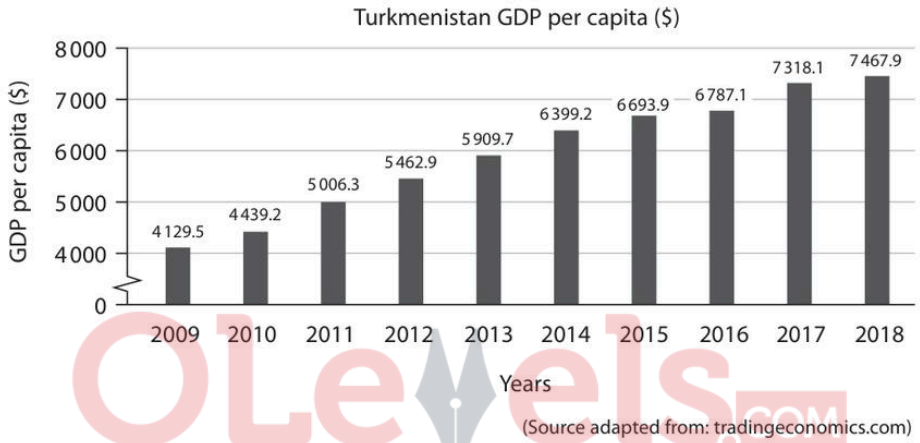
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7. Question 3 · part d · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

In recent years Turkmenistan has been one of the fastest growing economies. The most important sector of the economy is oil and natural gas extraction, which accounts for more than 60% of GDP. Although agriculture accounts for only 10% of GDP, it employs 50% of the labour force. Turkmenistan has seen annual GDP growth rates of 6.2%.



(Source adapted from: tradingeconomics.com)

Figure 4

(e) With reference to the data above and your knowledge of economics, assess the likely benefits of economic growth for a country such as Turkmenistan.

(9)

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7. Question 3 · part d · 6 marks · Working and answer

Working and answer

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8. Question 2 · part g · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part g only.

2 (a) A depreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** Lower inflation
- ☒ **B** Higher exports
- ☒ **C** Increased unemployment
- ☒ **D** Increased budget surplus

(b) Which **one** of the following terms may refer to someone having a lower standard of living in comparison to the average person in society?

(1)

- ☒ **A** Absolute poverty
- ☒ **B** Income distribution
- ☒ **C** Relative poverty
- ☒ **D** Poverty trap

(c) State **one** effect on the balance of payments of improved quality of domestic goods.

(1)

(d) What is meant by the term fiscal policy?

(2)

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8. Question 2 · part g · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part g only.

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In December 2019 the unemployment rate in Venezuela was approximately 44%. This was much higher than the previous December's figure of 35%.

(e) Explain **one** impact of increasing unemployment rates on business confidence in a country such as Venezuela.

(3)

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By volume, 90% of world trade of goods are transported by sea in containers. There are 5,000 container ships in the world and the largest carries more than 20,000 containers. It now costs only $0.05 to ship a t-shirt across the world from low-cost countries such as Vietnam.

(f) Explain **one** reason why the reduced cost of transport has helped to increase globalisation.

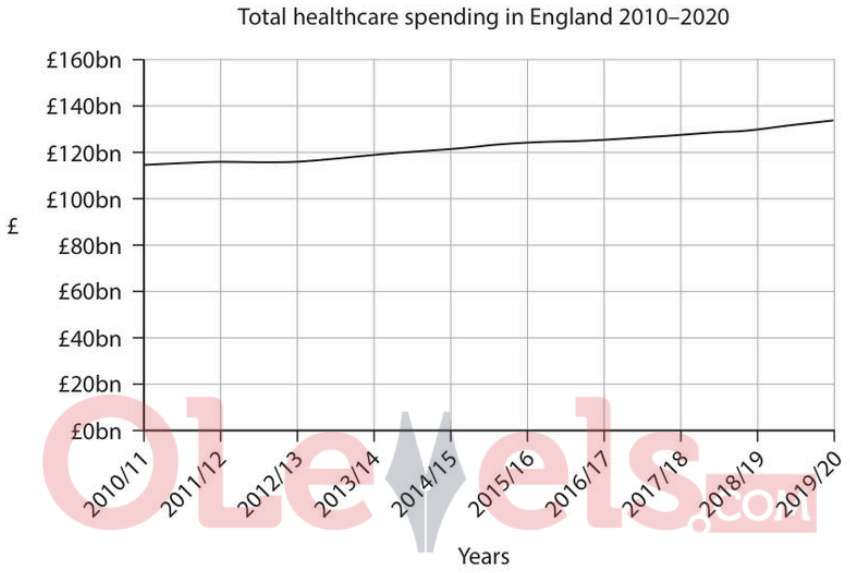
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8. Question 2 · part g · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part g only.

Total healthcare spending in England was £129bn in 2018–2019 and was expected to rise to nearly £134bn by 2019–2020. Access to healthcare is free in England.



(Source adapted from: https://fullfact.org/health/spending-english-nhs/)

Figure 2

(g) With reference to the data above and your knowledge of economics, assess the use of investment in healthcare to reduce the level of inequality and poverty in a country such as England.

(9)

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8. Question 2 · part g · 9 marks

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Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

8. Question 2 · part g · 9 marks · Working and answer

Working and answer

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9. Question 1 · part d · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) Which **one** of the following is an example of cyclical unemployment?

(1)

- ☒ **A** Factory workers lose their jobs as more machines are used
- ☒ **B** Hotels employ fewer workers in the winter months
- ☒ **C** Workers are waiting to start a new job
- ☒ **D** An airline cuts jobs during a global recession

(b) A decrease in the exchange rate caused by government intervention is known as

(1)

- ☒ **A** depreciation
- ☒ **B** devaluation
- ☒ **C** revaluation
- ☒ **D** appreciation

(c) What is meant by the term exports?

(2)

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9. Question 1 · part d · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(d) Describe **one** impact that education may have on inequality and poverty.

(2)

The consumer price index (CPI) was 110.2 in 2019 and the base year was 100 in 2015.

(e) Calculate how much **inflation** there has been between 2015 and 2019. You are advised to show your working.

(2)

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9. Question 1 · part d · 2 marks · Working and answer

Working and answer

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

3 (a) Which **one** of the following describes shoe leather costs?

(1)

- ☒ **A** The costs of raw materials used to make a good or service
- ☒ **B** The costs of communication used by a firm
- ☒ **C** The costs of searching for cheaper suppliers when inflation is high
- ☒ **D** The costs to firms of having to make repeated price changes

(b) Which **one** of the following may cause a current account surplus?

(1)

- ☒ **A** Lower priced foreign goods
- ☒ **B** Higher priced domestic goods
- ☒ **C** Lower import tariffs on foreign goods
- ☒ **D** Higher quality of domestic goods

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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In 2020, the Kazakhstan Government introduced quotas of 200,000 tonnes on imported wheat and 70,000 tonnes on imported flour.

(c) Explain **one** possible reason why the Kazakhstan Government introduced quotas on imports of wheat and flour.

(3)

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

In February 2020, Singapore experienced deflation for the first time since January 2010. This was mainly caused by a decline in the price of airfares and holidays due to the government lockdown.

(d) With reference to the data above and your knowledge of economics, analyse the impact of deflation on consumer confidence in a country such as Singapore.

(6)

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

The UK has a benefits payment called Universal Credit. It is a payment to help with living costs if a person is on low income or out of work.

	Monthly standard allowance (£)
Single adult aged under 25 years	342.72
Single adult aged over 25 years	409.89
A couple/two adults both aged under 25 years	488.59
A couple/two adults both aged over 25 years	594.04

Figure 3

(Source adapted from: https://www.gov.uk/universal-credit/what-youll-get)

(e) With reference to the data above and your knowledge of economics, assess the advantages of using benefit payments to redistribute income in a country such as the UK.

(9)

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

10. Question 3 · part e · 9 marks · Working and answer

Working and answer

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11. Question 1 · part d · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

1 (a) A firm is described as a multinational corporation (MNC) if it

(1)

- ☒ **A** has shareholders in many countries
- ☒ **B** exports goods to other countries
- ☒ **C** is owned by the government
- ☒ **D** operates in more than one country

(b) An increase in which **one** of the following would be most likely to encourage saving?

(1)

- ☒ **A** Interest rate
- ☒ **B** Income tax rate
- ☒ **C** Exchange rate
- ☒ **D** Indirect tax rate

(c) What is meant by the term imports?

(2)

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11. Question 1 · part d · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

(d) Describe **one** reason why governments make benefit payments.

(2)

Figure 1 shows the UK's imports and exports for the year ending July 2019.

	£bn
Imports	689.9
Exports	646.7
Total UK trade	1 336.6

Figure 1

(Source: Department for International Trade: UK Trade in Numbers September 2019)

(e) Using the data in Figure 1, calculate in £bn, **the current account** for the UK year ending July 2019. You are advised to show your working.

(2)

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11. Question 1 · part d · 2 marks · Working and answer

Working and answer

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12. Question 1 · part b · 1 mark

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 (a) What does the International Labour Organisation (ILO) measure?

(1)

- ☒ **A** Economic growth
- ☒ **B** Unemployment
- ☒ **C** Government spending
- ☒ **D** Inflation

(b) Which **one** of the following is considered to be a progressive tax in the UK?

(1)

- ☒ **A** Income tax
- ☒ **B** Value added tax (VAT)
- ☒ **C** Excise duties
- ☒ **D** Import tariff

(c) What is meant by the term deregulation?

(2)

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12. Question 1 · part b · 1 mark · Working and answer

Working and answer

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13. Question 3 · part d · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

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3 (a) Which **one** of the following is an example of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** An Indian garment factory selling clothes to the UK
- ☒ **B** The Indian Government investing in the Indian rail network
- ☒ **C** The construction of a factory in India by a Chinese firm
- ☒ **D** An Indian supermarket opening new stores in India

(b) If the exchange rate changes from £1 = $1.40 to £1 = $1.30 then

(1)

- ☒ **A** the UK pound (£) has appreciated against the US dollar ($)
- ☒ **B** US holidays will be cheaper for UK tourists
- ☒ **C** US exports to the UK will be cheaper
- ☒ **D** UK exports to the US will be cheaper

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13. Question 3 · part d · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

In November 2020, Pakistan recorded a current account surplus of $1.64bn. This was its fifth consecutive current account surplus.

(c) Explain **one** reason why an improvement in the quality of domestic goods may have resulted in a positive impact on Pakistan's current account.

(3)

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13. Question 3 · part d · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

China has been investing in healthcare as the main way to reduce poverty. Over 90% of the medical bills of patients are now paid by the government.

(d) Analyse the benefits of investing in healthcare for a country such as China.

(6)

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13. Question 3 · part d · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

In 2021, the UK Government investigated multinational corporations (MNCs) suspected of moving profits made in the UK to other countries. It threatened large penalties for firms that were found guilty of not paying business taxes that were due.

The Government estimated that 2,000 large firms with operations in the UK may owe as much as £34.8bn in tax in the 2019–2020 financial year. This was up from £29.9bn in 2018–2019.

(e) With reference to the data above and your knowledge of economics, assess the drawbacks for the UK of having MNCs located within the country.

(9)

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16

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13. Question 3 · part d · 6 marks · Working and answer

Working and answer

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14. Question 1 · part g · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) Menu costs could be described as the costs of

(1)

- ☒ **A** searching for cheaper suppliers when inflation is high
- ☒ **B** paying workers for their labour
- ☒ **C** renting a factory
- ☒ **D** reprinting brochures when prices change

(b) Which **one** of the following is likely to cause demand pull inflation?

(1)

- ☒ **A** A decrease in productivity
- ☒ **B** A decrease in government spending
- ☒ **C** An increase in the consumption of goods
- ☒ **D** An increase in interest rates

(c) What is meant by the term imports?

(2)

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14. Question 1 · part g · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(d) Describe the impact on the demand for a currency after an increase in interest rates.

(2)

Figure 1 shows Canada's imports and exports for the year ending 2020.

	CAD$bn
Imports	561
Exports	524
Total Trade	1 085

Figure 1

(Source: https://www150.statcan.gc.ca/n1/daily-quotidien/210414/dq210414a-eng.htm)

(e) Using the data in Figure 1, calculate in CAD$bn the **current account** for Canada for the year ending 2020. You are advised to show your working.

(2)

14. Question 1 · part g · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(f) Label the boxes in the diagram below with the three remaining stages of the economic cycle.

(3)

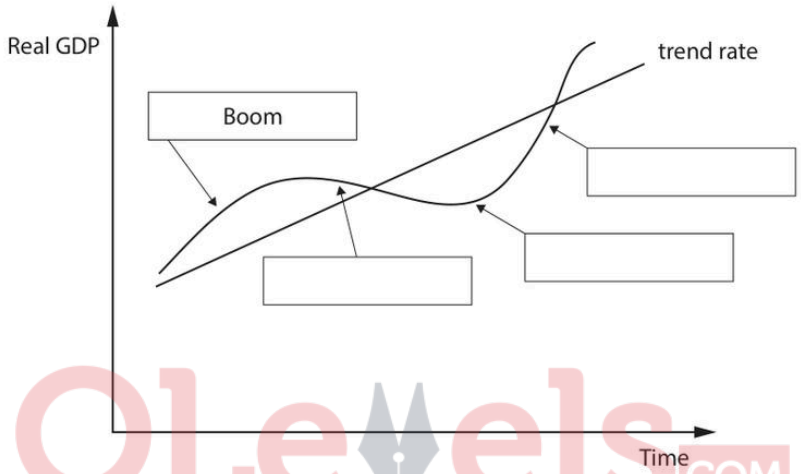


Figure 2

The Scottish Government is introducing a new benefit payment that will give 400,000 low income households £50 every winter towards their energy bills.

(g) Explain **one** reason why the Scottish Government gives benefit payments.

(3)

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P 7 4 0 5 9 R A 0 4 2 4

14. Question 1 · part g · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

Singapore's gross domestic product (GDP) increased to 7.2% in 2021. This was mainly due to increased exports and an increase in consumer spending.

(h) With reference to the data above and your knowledge of economics, analyse the limitations of using GDP as a measure of economic growth for a country such as Singapore.

(6)

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14. Question 1 · part g · 3 marks · Working and answer

Working and answer

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15. Question 2 · part e · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

2 (a) Fiscal policy would involve a change in which **one** of the following?

(1)

- ☒ **A** Exchange rates
- ☒ **B** Interest rates
- ☒ **C** Production rates
- ☒ **D** Tax rates

(b) A savings account has €5 000 in it at the start of the year. If the interest rate is 2%, what is the total amount in the account at the end of the year?

(1)

- ☒ **A** €100
- ☒ **B** €2 500
- ☒ **C** €4 900
- ☒ **D** €5 100

(c) State **one** role of a central bank.

(1)

(d) What is meant by the term current account surplus?

(2)

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15. Question 2 · part e · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

Erasmus is an organisation that provides education and training for young people in Europe. In 2020, it funded over 640,000 educational experiences.

(e) Explain **one** impact education and training may have on inequality and poverty.

(3)

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15. Question 2 · part e · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

In 2021, the Canadian Government introduced subsidies for the purchase of electric vehicles.

(f) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of electric vehicles. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

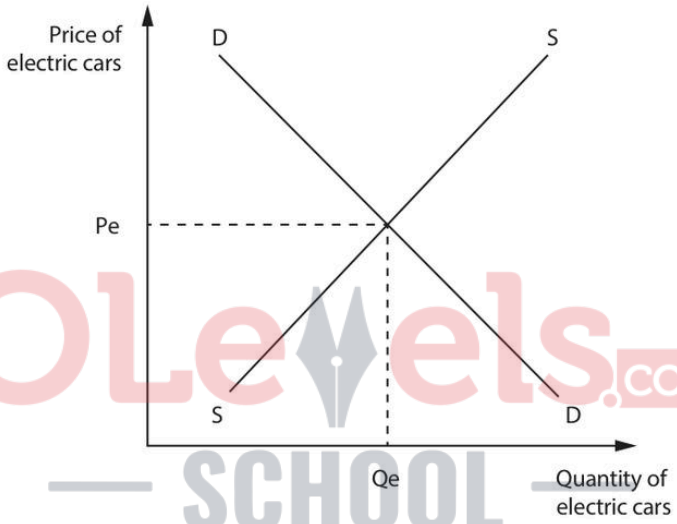


Figure 2

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15. Question 2 · part e · 3 marks · Working and answer

Working and answer

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16. Question 1 · part a · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a characteristic of progressive taxation?

(1)

- ☒ **A** The tax rate is the same for all income levels
- ☒ **B** The tax rate decreases as income increases
- ☒ **C** The tax rate increases as income increases
- ☒ **D** The tax rate fluctuates based on the overall level of GDP of the economy

(b) Which **one** of the following describes a fiscal surplus?

(1)

- ☒ **A** The value of imports is less than the value of exports
- ☒ **B** The value of imports is greater than the value of exports
- ☒ **C** Government revenue is less than government expenditure
- ☒ **D** Government revenue is greater than government expenditure

(c) What is meant by the term income inequality?

(2)

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16. Question 1 · part a · 1 mark · Working and answer

Working and answer

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17. Question 2 · part e · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

2 (a) What is the likely impact of lower transport and communication costs on an economy?

(1)

- ☒ **A** Increased unemployment
- ☒ **B** Decreased international trade
- ☒ **C** Increased economic growth
- ☒ **D** Decreased consumer spending

(b) Which **one** of the following types of unemployment is caused by changes in the business cycle?

(1)

- ☒ **A** Structural
- ☒ **B** Seasonal
- ☒ **C** Frictional
- ☒ **D** Cyclical

(c) State **one** possible impact of a current account deficit.

(1)

(d) What is meant by the term fines?

(2)

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17. Question 2 · part e · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

The US has a progressive taxation system for income tax rates. In 2023, the income tax rates ranged from 10% for individuals on low incomes, up to 37% for those on the highest incomes.

(e) Explain **one** way progressive taxation can help to reduce poverty for a country such as the US.

(3)

(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

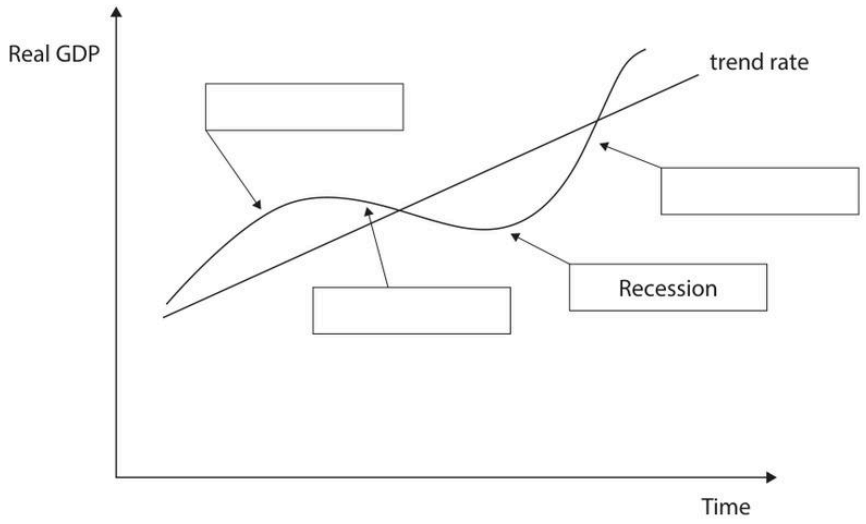


Figure 3

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17. Question 2 · part e · 3 marks · Working and answer

Working and answer

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18. Question 2 · part a · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 (a) The percentage of income tax paid by an individual in a progressive tax system

(1)

- ☒ **A** remains the same for all income levels
- ☒ **B** decreases with higher income levels
- ☒ **C** increases with higher income levels
- ☒ **D** is capped once income levels reach a certain threshold

(b) A depreciation in a country's exchange rate is most likely to lead to

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(c) State **one** possible trade-off with inflation.

(1)

(d) What is meant by the term direct tax?

(2)

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18. Question 2 · part a · 1 mark · Working and answer

Working and answer

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19. Question 2 · part e · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

2 (a) Which **one** of the following is a government policy that changes the rate of interest?

(1)

- ☒ **A** Fiscal
- ☒ **B** Supply-side
- ☒ **C** Monetary
- ☒ **D** Exchange rate

(b) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a limit on government salaries
- ☒ **B** Allowing more foreign firms into the domestic market
- ☒ **C** Introducing compulsory employee training requirements
- ☒ **D** Increasing consumer protection laws

(c) State **one** possible advantage of foreign direct investment (FDI) for an economy.

(1)

(d) What is meant by the term indirect tax?

(2)

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19. Question 2 · part e · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

The World Health Organization estimates that 4.5 billion people are classed as being in poverty because they do not have access to essential healthcare.

(e) Explain **one** way government provision of healthcare can help to reduce poverty.

(3)

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19. Question 2 · part e · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

Figure 3 shows the supply of and demand for UK pounds (£) against the US dollar ($).
Currency speculators think the value of the UK pound (£) is going to rise in the future.

(f) Using the diagram below, draw the likely effect of currency speculators on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

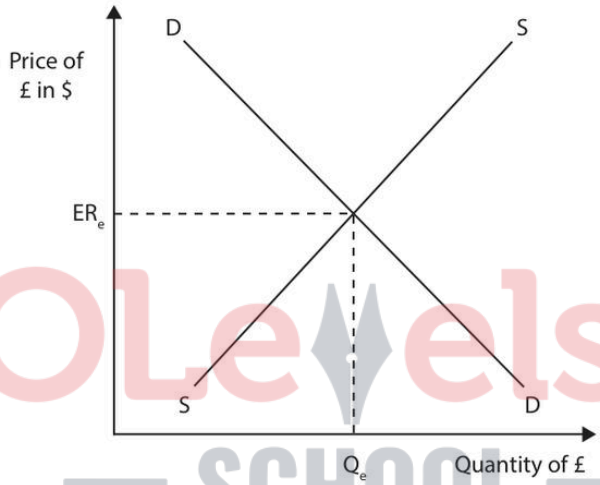


Figure 3

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19. Question 2 · part e · 3 marks · Working and answer

Working and answer

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